

The Private Firm CFO • MGT 816

Case 2 — Solstice Robotics: Three Inboxes and a Tender Offer

Taxes and Employee Stock Options — the second graded case.

Session 8 • Monday, October 5, 2026 • Prof. John Barrios

\$10.00 preferred

\$9.00 tender

\$4.00 409A

Memo was due Friday, Oct 2, 1:00 pm — all sections.

Original teaching case — Solstice Robotics is fictional. Classroom analysis only; not tax advice.

The opening vote

Three people got the same email about the same \$9.00. Their tax bills differ by six figures.

Sells the maximum

...

Sells nothing

...

Vote now — we re-vote at the end. All three sections' tallies post tonight.

The three prices

\$10.00

Series C preferred

Stock plus preferences — a 1× non-participating liquidation preference and board rights. Not the price of common.

\$9.00

The tender

A negotiated clearing price for common today. Real — but one-time and capped.

\$4.00

The 409A FMV

The defensible fair market value of common — it sets strike prices, and it is the number the tax law reaches for at exercise.

Everything in this case is one question: which number does the tax law use — and when?

The persona matrix

	Maya Chen — Staff Engineer	Ben Osei — Dir. Product	Sofia Ramirez — VP Sales (resigned)
Position	100,000 ISOs @ \$0.25 — fully vested, never exercised	Early-exercised 80,000 ISOs (Mar 2022, \$20,000) + 83(b); holds common	60,000 NQSOs @ \$1.20; 40,000 vested; window ends Jun 29
Income character	?	?	?
Tax now	?	?	?
Cash now	?	?	?
The clock	?	?	?
Biggest risk	?	?	?

Maya sells 25,000: the disqualifying disposition ★

Facts

- Staff Engineer #8. 100,000 vested ISOs, strike \$0.25 (Nov 2021 grant).
- Tenders her 25% cap = 25,000 shares at \$9.00, same-day exercise-and-sell, May 15, 2026.
- Sold < 1 yr from exercise $\Rightarrow$ disqualifying disposition.
- Exhibit D card: ordinary 35% federal + 5% state = 40%; ISO sales carry no payroll tax, no withholding.

Ordinary income = $(\$9.00 - \$0.25) \times 25,000 =$
\$218,750

Tax = $40\% \times \$218,750 =$ **\$87,500**

**Net cash = \$225,000 proceeds – \$6,250 strike –
\$87,500 tax = \$131,250**

Nothing was withheld from her check — the full \$87,500 is due with her April return. 'More cash now' is a trap, not a gift.

Company side: Solstice books a \$218,750 deduction (the CFO ledger slide). Sold same calendar year $\Rightarrow$ no AMT adjustment on these shares.

Three policy questions for the board

1. Restore early exercise for new grants — yes or no?
2. Extend the 90-day post-termination window to five years — who pays?
3. Does the \$9.00 print move the next 409A?

Vote each one. Name the payer before you vote yes.

The AMT worksheet — Maya exercises 75,000 and holds (build 1) ★

Facts

- Maya exercises her remaining 75,000 ISOs on May 15, 2026 at \$0.25 strike and sells nothing.
- Baseline (Exhibit D): 2026 taxable income \$200,000; regular federal tax \$40,000.

State your FMV assumption and defend it. The tender says \$9.00; the 409A says \$4.00. We compute at \$4.00; sensitivity at \$9.00 by cold-call.

L1 Bargain element = $(\$4.00 - \$0.25) \times 75,000 =$
\$281,250

L2 AMTI = $\$200,000 + \$281,250 =$ **\$481,250**

L3 Exemption: $\text{AMTI} \leq \$500,000 \Rightarrow$ full **\$90,000** $\Rightarrow$ base
\$391,250

L4 Tentative minimum tax = ____

L5 AMT owed = ____

AMT is (mostly) a prepayment

1. The credit — her \$64,750 carries forward against future regular tax.

Timing, not (usually) permanent cost.

2. The escape hatch — sell the exercised shares the SAME calendar year.

The AMT adjustment disappears — it becomes the same disqualifying-disposition math as Maya's tender leg.

3. The strategy — exercise while the spread is small.

Exactly what Ben did in 2022 — next slide.

Mostly, not entirely: the credit unwinds over years, and the \$64,750 is cash due next April regardless.

Ben: sell in May or wait for the QSBS zero? ★

80,000 shares early-exercised **3/15/2022** (\$20,000 paid; 83(b) filed 3/28/2022; \$0 tax then; basis \$0.25). QSBS-qualified at issuance (gross assets \$14M ≤ \$50M; pre-7/4/2025 stock ⇒ 5-year cliff, 100% exclusion, \$10M cap — no partial tiers). Tenders **20,000 at \$9.00** ⇒ proceeds \$180,000; gain = $\$8.75 \times 20,000 = \mathbf{\$175,000}$, long-term either way.

	Column A — Sell May 15, 2026 (held 4.2 yrs)	Column B — Wait past March 15, 2027 (5 yrs)
Character	LTCG, QSBS 5-yr clock NOT met	\$1202 qualified
Federal tax	$28.8\% \times \$175,000 = \$50,400$	\$0
State (non-conforming)	(inside the 28.8%)	$5\% \times \$175,000 = \$8,750$
Net after tax	\$129,600	\$171,250

Waiting ~10 months saves \$41,650 — 24% of the gain. What has to stay true for those 10 months?

The 2022 counterfactual: had Ben never early-exercised, exercising today ⇒ AMT ≈ \$69,600 and no QSBS ever (assets \$92M > threshold). At a \$20 exit: ≈\$632,000 all-ordinary path vs. ≈\$79,000 (state only) on his actual path — the \$20,000 form is worth ≈ \$553,000.

Sofia: the 90-day bridge ★

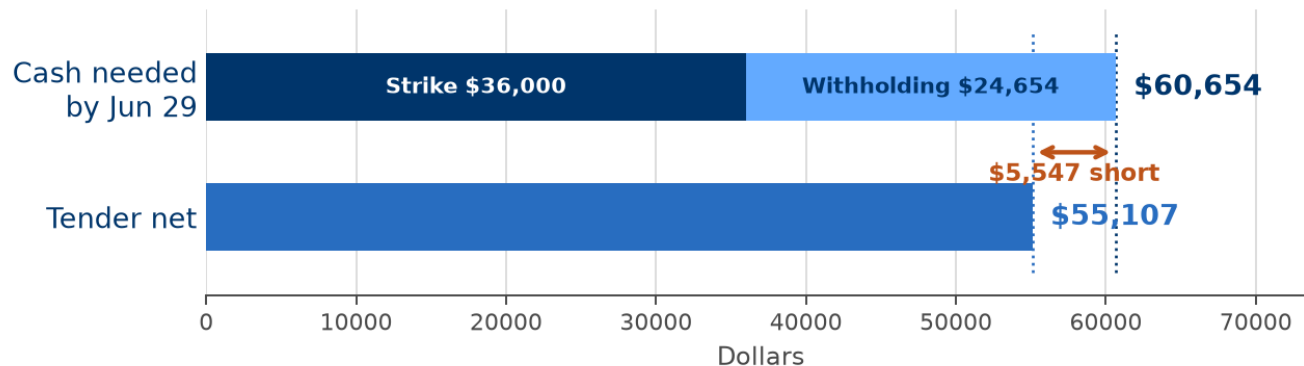
VP Sales, resigned eff. 3/31/2026. NQSOs (granted 2023 while a **consultant** — ISOs were never available to her), strike **\$1.20**. **40,000 vested** of 60,000 (20,000 forfeited at termination). Window closes **June 29, 2026**. Tender cap 10,000 shares. Withholding stack = 22% + 2.35% + 5% = **29.35%**; true marginal rate 35 + 2.35 + 5 = **42.35%**.

Tender 10,000

- Comp income = $\$7.80 \times 10,000 = \$78,000$ (W-2)
- Withheld = $29.35\% \times \$78,000 = \$22,893$
- Net cash = $\$90,000 - \$12,000 \text{ strike} - \$22,893 = \$55,107$
- True tax = $42.35\% \times \$78,000 = \$33,033 \Rightarrow$ **another \$10,140 due at filing**

Exercise-and-hold the other 30,000 by Jun 29

- Spread at \$4.00 FMV = $\$2.80 \times 30,000 = \$84,000$ of **ordinary income, zero cash received** (phantom income)
- Cash needed = $\$36,000 \text{ strike} + \$24,654 \text{ withholding } (29.35\% \times \$84,000) = \$60,654$
- 'Withholding is NOT the tax.'



Solstice case, Exhibit D.

\$60,654 needed – \$55,107 tender net = \$5,547 short — plus the \$10,140 trailing bill. Do nothing $\Rightarrow$ forfeit options worth \$234,000 at the tender print (\$84,000 at the 409A).

Solstice's ledger: the same tender from the CFO's side ★

Exhibit E mix of the full 1,000,000-share tender at \$9.00 (\$9.0M gross): ≈40% NQSO exercise-and-sells, ≈35% disqualifying ISO sells, ≈25% long-held common.

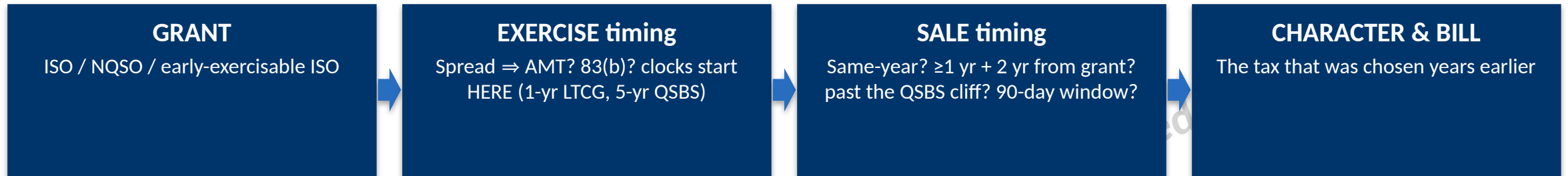
Tranche	Employee income	Company cash out	Company deduction
NQSO exercise-and-sells (400k, avg strike \$1.20)	comp \$3.12M	withholding ≈ \$916k + employer Medicare \$45,240	\$3.12M
Disqualifying ISO sells (350k, strike \$0.25)	ordinary \$3.06M	\$0 withheld — no payroll tax, W-2 reporting only	\$3.06M
Long-held common (250k, incl. Ben-type)	capital gain to holder	\$0	none
Total			≈ \$6.2M

ISO row: Employees must cover it themselves — the FAQ must say so.

≈\$6.2M of deductions adds to the ~\$110M NOL pile — worth ≈ \$1.3M at 21%, someday. The company's best tax outcomes are exactly the employees' worst ones.

Withholding is a next-business-day deposit (logistics). 409A: expect the \$9.00 print to get partial weight ⇒ next 409A ≈ \$4.50–\$6.00 ⇒ higher future strikes. ASC 718: Sofia's 20,000 unvested forfeited ⇒ reverse unamortized expense; her 30,000 vested expiring ⇒ no reversal; window extension = Type I modification ⇒ incremental fair-value expense (small here); >3 months post-termination converts an ISO to an NQSO.

The decision tree: character is chosen, not given ★



Sofia	NQSO → exercise = ordinary + withholding	42.35% / \$33,033 (tender leg); withheld 29.35%
Maya-tender	ISO → same-day sale = disqualifying → ordinary, NO withholding	40% / \$87,500
Maya-hold	ISO → exercise-and-hold → AMT now, LTCG later, credit back	AMT \$64,750
Ben	early exercise + 83(b) 2022 → LTCG → past 5 yrs = QSBS	federal \$0, state \$8,750

Same company. Same \$9.00. Four characters — all fixed before the money was real.

Appendix: Key questions in using equity compensation

Why use equity in compensation — and which employees should receive grants?

Which type — restricted stock vs. employee stock options?

How much equity should each individual receive?

Employee side

When is income from the grant taxed? How much, and at what rate — ordinary income or capital gains?

Company side

Does the company get a deduction for the equity compensation — and if so, when, and for how much?

Appendix: Warm-up — the FreshBites 409A check

FreshBites' Series A preferred sold at **\$4.00**; the 409A pegs common at **\$2.03**. The gap mainly reflects—

- A. The valuation firm lowballing to help employees
- B. Liquidation preferences on the preferred + marketability/control discounts on common
- C. A fixed 2× convention
- D. Arbitrary negotiation

5 minutes, hands.

This week

Wednesday — Session 10: boards and audit readiness. Bring the revenue toolkit.

Office hours Tuesday, 1:30–3:00, my office — PS2 and AI questions.

PS2 (Redline Labs): due Monday, October 12, 1:00 pm — one submission per group, every member's name on all three files.

Case 2 memos are being graded; grades post after review.